

4.4 COMPARING DIFFERENT FORMS OF OWNERSHIP

Microeconomics by Topic
4. Ownership & Expansion of Firms

MARKING SCHEME

1995/CE/II/23 C	1997/CE/II/58 C	2005/CE/II/23 D (65%)	2008/CE/II/19 C (57%)	2018/DSE/I/07 D (69%)
1996/CE/II/17 C	1998/CE/II/20 D	2006/CE/II/21 C (58%)	2012/DSE/I/08 B (77%)	2020/DSE/I/5 C
1997/CE/II/19 B	2002/CE/II/19 D (59%)	2007/CE/II/20 B (77%)	2017/DSE/I/05 D (88%)	2023/DSE/I/08 C
2024/DSE/I/05 B				

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1999/CE/I/10(b)

Advantages:

- lower tax rate (1)
 - easier to set up / close down (1)
 - less legal constraints in business operation, so save cost in this aspect (1)
- [Mark the **FIRST TWO** points only.]

Disadvantages:

- unlimited liability (1)
 - narrower scope of raising capital (1)
 - lack of continuity (1)
- [Mark the **FIRST TWO** points only.]

2003/CE/I/3

General partnership.

- number of partners ranges from 2 to 20 (1)
 - unlimited liability / each partner is fully liable for the firm's debt
 - all partners are bound by other partners' business decisions
 - difficult to admit or withdraw partners
 - easy to set up and dissolve (1@, max: 2)
- [Mark the **FIRST TWO** points only.]

2008/CE/I/4

- (a) The liability of an owner of the firm is confined to the amount of his investment in the firm. (2)

(b)

	Public limited company	Partnership	
(i) Transfer of ownership	Does not need the consent of other shareholders	Need the consent of other partners	(2)
(ii) Source of capital	Can issue shares and debentures	Cannot issue shares and debentures / borrowing from friends, etc	(2)

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2024/DSE/II/1a

(a) (i) Public limited company / Listed company (1)

(ii) Advantages:

- no interest burden
 - no redemption obligation
- [Mark the FIRST point ONLY.]

} 1@
max: 1

Disadvantages:

- dilution of ownership and reduction in control power over the firm
 - higher risk of being taken over
- [Mark the FIRST point ONLY.]

} 1@
max: 1

2024/DSE/II/11c

(e) Possible reasons:

- Ann does not want to be legally bound by the business decisions of a partner.
 - Ann prefers making decisions promptly by herself.
 - Any other relevant point
- [Mark the FIRST TWO points ONLY.]

} 1@
max: 2

2025/DSE/II/6

(a) Reasons:

- Yoga studios provide heterogeneous services, e.g. different types of classes / different styles of teaching.
 - Market information is imperfect, e.g. information about the prices and quality is not readily available to consumers.
 - Sellers engage in non-price competition, e.g. advertising.
 - any other relevant point
- [Mark the FIRST TWO points only.]

} 2@
max: 4

(b) (i) Limited liability means that when a firm is liquidated, the liability of an owner of the firm is confined to the amount of his/her investment in the firm. (2)

(ii) Advantages of a private limited company over a public limited company:

- lower risk of being taken over as the transfer of ownership requires consent of other owners
 - no need to disclose financial accounts to the public
- [Mark the FIRST TWO points only.]

} 1@
max: 2